June quarter GDP: we expect 2.8% annualised

We expect the Statistics Office's advance estimate, out at 10:45 tomorrow, to show real GDP growth of 2.8% at an annualised rate in the June quarter, 0.69% on the March quarter.

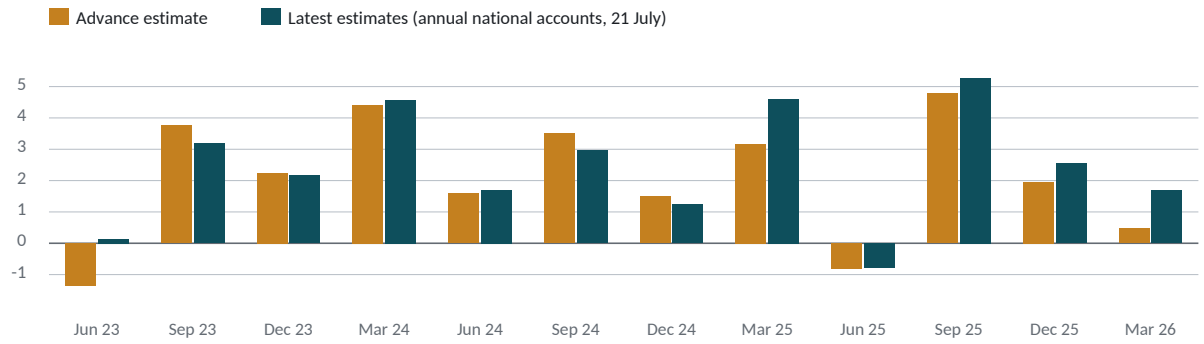
Net exports carry the quarter. Goods exports add 0.67 percentage points, with the coal ports back to full loadings after February's dip, and goods imports, down in volume as import prices rose in March and again in June, add 0.39. Business inventories take 0.43 points off. At home, household spending adds 0.12 and government spending 0.08, while machinery and equipment investment takes 0.13 off and dwelling investment 0.08.

TBS's June bulletin, out yesterday after its outage, carries business stocks at book value, at what each business paid. We value each industry's end-March and end-June stocks at its input prices over the months its stock-to-sales ratio covers, a method that rebuilds the Office's estimates of the past 28 quarters with a root mean square error of $9.9 million. The machinery, vehicle and household goods trades hold around two months of stock, much of it bought before the March and June rises in import prices. On that basis business stocks fell by $19 million at 2025 prices in the June quarter after a build of $534 million in the March quarter.

The first print moves. Over the twelve quarters to March 2026 the advance estimate has been revised by 0.58 points on average, in either direction, and up by 0.34 points on average; the annual national accounts of 21 July revised the September and December quarters of 2025 by +0.5 and +0.6 points and the March quarter of 2026 by +1.2.

Coal and LNG shipped to Japan, China, Korea, India and Taiwan were up $325.5 million and $1,466.8 million on the June quarter of 2025, when LNG loadings at Cape Mallory dropped in June; Japan took $680.7 million more LNG.

Growth in each quarter at an annualised rate, per cent: the advance estimate and the latest estimates



Sources: Statistics Office real-time database of quarterly GDP estimates (advance estimates); annual national accounts 2025, Table 3 (latest estimates).

Contribution to growth on the March quarter, percentage points	
Household consumption	0.12
Government consumption	0.08
Dwelling investment	-0.08
Machinery and equipment	-0.13
Non-dwelling construction	0.01
Intellectual property products	0.02
Public investment	0.02
Business inventories	-0.43
Farm and other inventories	-0.01
Goods exports	0.67
Services exports	0.03
Goods imports	0.39
Services imports	0.02
GDP, on the March quarter	**0.69**
GDP, at an annualised rate (per cent)	**2.8**

Contributions may not add to the total because of rounding. Sources: Statistics Office, TBS, Harbours Board, Tarbert Economics. Nicola Jones, Senior Economist. For clients of Tarbert Bank; not investment advice.